- **Minimum Subscription:** The minimum shares the company needs to get from the public out of the total issue by the date of closure. (Presently every company need to raise 90% of the issued amount).
- **Promoters:** A promoter conceives an idea for setting-up a particular business at a given place and performs various formalities required for starting a company.
- **Underwriters:** A syndicate of banks (the lead managers) underwrites the transaction, which means they have taken on the risk of distributing the securities.
- **Sweat Equity:** Sweat share means equity shares issued by the company to employees or directors at a discount or for consideration other than cash for providing know-how or making available right in the nature of intellectual property rights or value additions.
- **Prospectus:** A prospectus is a legal document issued by companies that are offering securities for sale, including the details of the company and the issue.
- **Memorandum of Association:** A Memorandum of Association (MOA) is a legal document prepared in the formation and registration process of a limited liability company to define its relationship with shareholders.
- **Articles of Association:** is a document which states the rules and regulations of the internal affairs of the company. It is the by-laws of the company.
- **Preliminary Expenses:** Preliminary expenses are those expenses which are incurred in business before incorporation and commencement of business. Example : statuary fees ,company logo, survey report, Charges paid to charter accounting firm before forming a company.

EVALUATION

RTGLVG

I. Multiple Choice Questions

1. The report given by the auditor reveals a true and fair view of a company is _____
   a. Unqualified report
   b. Qualified report
   c. Interim report
   d. Final report

2. Where an auditor gives an opinion on the various matters without any reservations, it is known as
   a. Clean report
   b. Qualified report
   c. Adverse report
   d. Negative report

Chapter_10.indd 160 12/23/2019 3:19:43 PM